

PART V

Views from the Inside

The view from the gallery at any one of the exchanges is mind boggling; between the paper flying, the shouting, and the mad rushing about, it's amazing that order is maintained. Not much has changed since 1870, when speculator W. W. Fowler described the market as a "roaring maelstrom." Some 120 years later, Laura Pedersen, an options trader who made \$1.5 million before turning 24, paints an equally vivid and wild portrait of life on the floor. She likens it to hand-to-hand combat. The purpose of Part V is not only to depict the life of a trader, but to access the exchange's quiet inner sanctums where profound issues are debated. E. H. H. Simmons, president of the New York Stock Exchange from 1926 to 1930, and Otto Kahn, the J. P. Morgan of his day, present their views on sticky issues such as credibility and public opinion, and, in the process, raise more questions. Charles Merrill and E. A. Pierce answer those questions by offering some practical advice on how to win over the public. By understanding the mind-set of the professional broker and trader and looking at investment from their perspective, investors know where they stand.